

Worry about Retirement? I'm Still in High School

The eighteen- through twenty-five-year-old excuse of being “too young” to save money was an excuse that Curtis had perfected. He used to say “Retirement is something only old people have to worry about. I’m only seventeen and a senior in high school and I’m worried right now about how I’m going to pay for the senior prom.” That sentiment is common among young adults. The perception is that saving for retirement is not a priority, given the more immediate alternative uses for their money. Curtis didn’t see the point in saving; he just lived one day at a time.

Curtis’ childhood role models consisted of single parent families, most on welfare. Those in his Baltimore neighborhood with money usually got it through illegal means. Curtis didn’t see any other way to get money. He definitely didn’t want to live the hand-to-mouth existence that most of his neighbors did.

Curtis had a part-time job at a gas station during high school. The money he earned went to buy clothes, shoes, cigarettes, and fast food. He also went out almost every weekend with his girlfriend or his friends and spent money on entertainment. The things he bought had a short life span. The fast food was gone as soon as he ate it, the cigarettes became ashes, and the entertainment ended as soon as he left the sports arena or the dance club.

One day, Curtis’ economics teacher, Mr. Richards, held a class session on the value of saving. The teacher asked Curtis if he could save a dollar a day. Curtis said he probably could. The teacher then showed that in ten years time, if Curtis didn’t touch the money and it earned 5 percent interest, Curtis would have \$4,720. He could have a substantial down payment for a moderately priced new car in only ten years or he

